Legislature but with that his utility ended. ‘His departure only waited upon discovering an appropriate replacement, a suitable occasion and a favorable political environment in which it would pass without much fuss.’[6]

James Taylor (not yet Sir) and Sir Sikander Hyat-Khan were appointed as Deputy Governors for a term of five years. Taylor belonged to the ICS and after working in the CP & Berar government for some time, moved to the Government of India where he served as Deputy Controller and Controller of the Currency. Later, as Additional Secretary in the Finance Ministry, he was intimately connected with the drafting of the RBI Bill. It was Taylor who had in fact been given the task of planning the organization and administration of the bank and he was fully conversant with the minutiae of administration. The other Deputy Governor, Sir Sikander Hyat-Khan, had been a member of the Punjab Legislative Council for long and was also Acting Governor of the Punjab. His appointment fulfilled Sir George Schuster’s assurance in the Legislature that one of the top posts would be filled by an Indian. The India Office was not unduly worried by this appointment ‘as the criteria laid down for the choice were unequivocally such as to ensure a minor role for the incumbent.’[7] The Viceroy’s letter to the Secretary of State in October 1934 gives some idea about the lack of importance attached to the post. ‘I am inclined to think that the idea of appointing someone who is practically a figurehead, though not lacking in ability, and in the more respectable qualities that go to make a public man, is the best way out of the difficulty that has arisen.’[8] The name of R.K. Shanmukham Chetty who was the government’s first choice was vetoed by the India Office because they thought that he had political ambitions. Others rejected included Shankar Rau, P.R. Rau, A.C. Mukherji, and V.T. Krishnamachari of Baroda. Sir Sikander’s name was accepted as a *pis aller*.[9] But Sir Sikander like Smith was not destined to last long in the post, resigning a few days before Smith on October 20, 1936, to rejoin politics in Punjab.

Finance Member vs RBI Governor

What were the factors which led to Smith’s premature departure from the bank? Smith’s personal equation with Sir James Grigg, who became the Finance Member in early 1934, was less than cordial. Smith had crossed